Amount Rather Than Mere Presence of Senior Obligations Important. The relatively large number of companies in our list having bonds outstanding is also of interest, as demonstrating that it is not the mere *presence* of bonds, but rather the *amount* of the prior debt which is of serious moment. In three cases the bonds were outstanding in merely a nominal sum, as the result of the fact that nearly all of these companies had a long history, so that some of them carried small residues of old bond financing.[12]

By a coincidence all three of the noncumulative industrial preferred stocks in our list belong to companies in the *snuff* business. This fact is interesting, not because it proves the investment primacy of snuff, but because of the strong reminder it offers that the investor cannot safely judge the merits or demerits of a security by his personal reaction to the kind of business in which it is engaged. An outstanding record for a long period in the past, plus strong evidence of inherent stability, plus the absence of any concrete reason to expect a substantial change for the worse in the future, afford probably the only sound basis available for the selection of a *fixed-value* investment. The miscellaneous peculiarities in our list (mentioned under 3, above) are also useful indications that matters of form or minor drawbacks have no essential bearing on the quality of an investment.

1931 the price reached 108 1/4, *within a half-point of the highest level in its history*, and a yield of only 4.6%. The very next year the price fell to 35, and in the following year the dividend was reduced to a $3 basis. It was later restored to 5% but in 1938 the dividend was omitted entirely. This history might be pondered by investors willing to pay 112 for Norfolk and Western 4% Noncumulative Preferred in 1939.

[12] These companies were General Electric, American Tobacco, and Corn Products Refining. The University of Michigan study by Dr. Rodkey recognizes this point in part by ignoring certain bond issues amounting to less than 10% of capital and surplus.